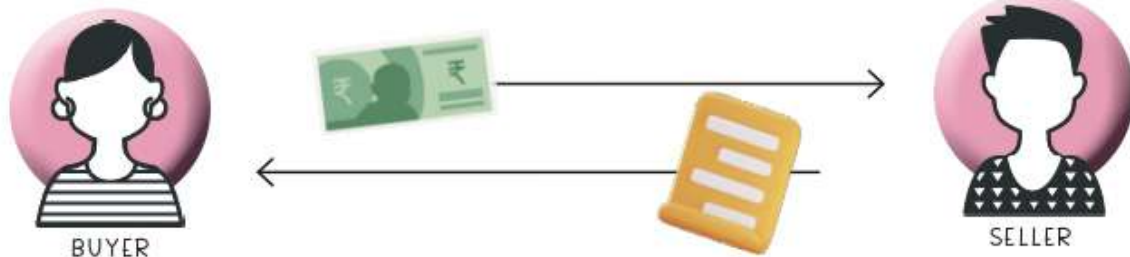


FORWARDS CONTRACT

Forward contracts are an agreement between a buyer and a seller to trade the underlying asset at a future date at a predetermined price. Here, the trade is to be executed in the future irrespective what the market price is on the pre-determined date. These are **not traded over exchange** i.e. we cannot buy forward contracts on BSE and NSE. These are to be done in person by finding a counter-part.



Explainer Video



TRADE UNDERLYING ASSET AT A PREDETERMINED PRICE

☒ FUTURE DATE

☒ PREDETERMINED PRICES

☒ EXCHANGE TRADED

FUTURES CONTRACT

Futures contracts are an agreement to buy/sell an underlying asset at a future date decided today and at a predetermined price but these are **exchange-traded**. They work in a manner similar to Forward contracts except for the fact that they can be **bought and sold over BSE and NSE**. Also, these require daily settlement of profits and losses. We will learn more about these going ahead.



Explainer Video



Therefore, for each contract, there is a middle person, i.e., BSE or NSE, with whom the contract is done.

☒ FUTURE DATE

☒ PREDETERMINED PRICES

☒ EXCHANGE TRADED